

QUESTION 1

BDM Theory Course: Module – Economics (GA-1)

Read the questions carefully and based on the Basic Economics concepts taught in class answer the following questions:

1. Q1 - Q6: 2 marks each

2. Case-1 (Q7 - Q8): 4 marks each

Read questions carefully and then attempt it using Economics Concepts.

Wish you all The Best!

The college administration has a budget of ₹50 lakhs available to upgrade its facilities. Various departments have submitted proposals for new projects:

The Computer Science Department wants an AI lab.

The Sports Department wants a new indoor stadium.

The Library wants more digital resources.

The Hostel Committee wants better accommodation facilities.

Students general point of view, "This is mainly an accounting problem because it involves money."
How would an economics student counter this statement?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. The student is correct, because economics only deals with decisions that involve money.
- ☒ B. The situation is primarily about choosing how scarce resources should be allocated among competing alternatives.
- ☐ C. This is strictly a management problem, because it simply involves coordinating different departments.
- ☐ D. This has nothing to do with economics, because no market transaction or trade has taken place yet.

Correct

QUESTION 2

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Wish you all The Best!

During the IPL Mega Auction, every franchise is given a strict budget cap (for example, ₹120 crore) to build their entire squad. Even though a team management wants to buy every single superstar batsman, bowler, and all-rounder available, they cannot do so because their financial capital is strictly limited. This **constraint** is an example of Economic Concept named as:

Answer is Correct

Score: 2 / 2

Options

☐ A. Demand

☒ B. Scarcity

Correct

☐ C. Inflation

☐ D. Macroeconomics

QUESTION 3

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Wish you all The Best!

The central government implements a sweeping, **nationwide labour law** that forces all instant-delivery platforms to provide medical insurance and standard minimum wages to all delivery partners. Economists run a large-scale data model to forecast how this nationwide law will impact the country's overall worker unemployment rate and aggregate consumer spending across the entire retail sector. This analysis is a topic of:

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Firm-level Optimization
- ☐ B. Consumer Surplus
- ☐ C. Microeconomics
- ☒ D. Macroeconomics

Correct

QUESTION 4

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Wish you all The Best!

An analyst at a project-based consultancy startup named **Consult001** is studying how a newly proposed city-wide government cap on the maximum weight a delivery rider can carry changes the average delivery fee and individual consumer demand for heavy items (like 10 kg flour bags) in West Chennai. This **specific analysis** falls under the domain of:

Answer is Correct

Score: 2 / 2

Options

☐ A. Macroeconomics

☐ B. Fiscal Policy

☒ C. Microeconomics

Correct

☐ D. Monetary Policy

QUESTION 5

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Read questions carefully and then attempt it using Economics Concepts.

Wish you all The Best!

Country X and Country Y both have private companies manufacturing electric vehicles. However:

In Country X, the government only **enforces** safety standards and environmental regulations.

In Country Y, the government **regulates** the industry, provides subsidies for electric vehicles, and also operates a public transportation network.

Which statement is most accurate?

Answer is Correct

Score: 2 / 2

Options

Correct

- ☒ A. Country X is a Capitalist Economy, while Country Y exhibits characteristics of a Mixed Economy.
- ☐ B. Country X and Country Y are both Socialist Economies because the government is involved in both.
- ☐ C. Country Y is a Capitalist Economy because private companies manufacture vehicles.
- ☐ D. Country X is a Mixed Economy because regulations exist.

QUESTION 6

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2. Case-1 (Q7 - Q8): 4 marks each

Read questions carefully and then attempt it using Economics Concepts.

Wish you all The Best!

You are going for a **UPSC IAS interview** and have already spent 45 minutes sitting in stagnant, bumper-to-bumper traffic on a city road. You finally reach a junction where you can change onto a clear express highway, but the 45 minutes you have already lost in traffic are gone forever and cannot be recovered, regardless of which route you choose for the rest of your trip. In economics, this unrecoverable past expenditure of time is classified as a:

Answer is Correct

Score: 2 / 2

Options

☐ A. Opportunity cost

☒ B. Sunk cost

Correct

☐ C. Fixed cost

☐ D. Marginal utility

QUESTION 7

The conceptual and numerical problems are based on the hypothetical case. Read the case carefully and based on the Economics concepts taught in class answer the following questions:

Case Scenario-1:

A **GreenFleet001** startup in Chennai manages a delivery fleet for online food delivery partners using two types of vehicles: **Electric 2- Wheelers (E2)** and **Electric 3-Wheelers (E3)**. The company's fleet operations are subject to a strict daily battery-charging cap of **₹20,000**.

Daily Budget Constrain Equation: $100E2 + 400E3 = 20,000$

Where:

Charging costs associated with vehicles:

₹100 is the daily charging cost per **Electric 2- Wheelers (E2)**.

₹400 is the daily charging cost per **Electric 3-Wheelers (E3)**.

Profit associated with the Vehicles:

Electric 2- Wheelers Cycles (E2) generates **₹500** in daily net profit.

Electric 2- Scooty/Bikes (E3) generates **₹1,500** in daily net profit.

Due to a new, mandatory Business to Business (B2B) contract with a local e-commerce delivery based company, the startup **must deploy exactly 10 Electric 3-Wheelers (E3 = 10)** every day. To maximize overall company returns, the fleet manager wants to optimize the remaining charging budget to deploy as many Electric 2-Wheelers as possible.

To ensure the charging budget is fully utilized without being exceeded, what is the maximum number of Electric 2-Wheelers (E_2) the manager can optimally deploy?

Answer is Correct

Score: 4 / 4

Options

☐ A. 100 vehicles

☐ B. 120 vehicles

☒ C. 160 vehicles

Correct

☐ D. 200 vehicles

QUESTION 8

The conceptual and numerical problems are based on the hypothetical case. Read the case carefully and based on the Economics concepts taught in class answer the following questions:

Case Scenario-1:

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Daily Budget Constrain Equation: $100E2 + 400E3 = 20,000$

Where:

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Profit associated with the Vehicles:

Electric 2- Wheelers Cycles (E2) generates **₹500** in daily net profit.

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Due to a new, mandatory Business to Business (B2B) contract with a local e-commerce delivery based company, the startup **must deploy exactly 10 Electric 3-Wheelers (E3 = 10)** every day. To maximize overall company returns, the fleet manager wants to optimize the remaining charging budget to deploy as many Electric 2-Wheelers as possible.

What is the maximum daily profit the fleet can achieve under this operational constraint?

Answer is Correct

Score: 4 / 4

Options

☐ A. ₹80,000

☒ B. ₹95,000

Correct

☐ C. ₹1,00,000

☐ D. ₹1,15,000